

THE OECD TAX-BENEFIT MODEL FOR LITHUANIA

Description of policy rules for 2018



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Preface

The [OECD Tax-Benefit model](#) (**TaxBEN**) incorporates detailed policy rules for tax liabilities and benefit entitlements as they apply to individual families across OECD member countries. Its main use is to calculate the amount of taxes that people are liable to pay, and the government transfers they are likely to receive, in different family and labour-market situations. The model includes legal policy rules that are relevant for people of **working age** (from 18 years old until the statutory retirement age) and their dependent children. Income tax liabilities and benefit entitlements are calculated for a broad set of *stylised* families (“vignettes”, e.g. a married couple of 40 years old adults with two children aged 4 and 6 respectively). Model users are free to change many of these characteristics, including the age and number of children, activity status of adult members, hours of work, current and past earnings levels, unemployment duration, social contribution records, and housing-related costs. The model has been updated annually since the early 2000s for most OECD countries.

TaxBEN’s policy scope includes the main taxes on employment income (earnings), social contributions paid by individuals and by employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits and support for non-parental childcare are included for a sub-set of countries and years. The most important policy areas that are outside the scope of the model include taxes on wealth (e.g. taxes on immovable and unmovable properties, including local taxes), indirect taxes (e.g. VAT), early-retirement benefits, sickness benefits and in-kind transfers (e.g. free school meals, subsidised transport and free health care).

This report describes the taxes and benefits that are included in the model and focuses on the rules that are relevant for family, individual and labour-market circumstances that are within its scope. The **Annex** provides information on other cash benefits and taxes on employment incomes that can be relevant for some members of the working-age population, but which are not included in the TaxBEN model.

Reading notes and further details on the scope and content of this report

- The **reference date** for policy rules described in this report is **January 1, 2018**.
- **Guidelines for completing and updating this report** are provided [here](#).
- Further information on the model, model results, and references to reports and analytical uses is available on the [project website](#). A [methodology](#) document provides a full description of the assumptions underlying the model as well as the model choices that users can make. The symbol  in the text provides a link to a glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.

- In order to facilitate transparency between the policy descriptions and the associated code in the model, the variable names are indicated in the text in square brackets using the following format: **[variable name]**, for instance: **[AW]** for the average wage.

The OECD tax-benefit model for Lithuania: Policy rules in 2018

1. Reference wages

The provisional 2018 average wage **[AW]** is EUR 915.8 per month (EUR 10 989.6 per year).¹ The final average wage for 2018 will be published on 30 May 2019.

The minimum wage **[MIN]** in 2018 is EUR 400 per month. The annual minimum wage is computed by multiplying the minimum monthly wage (as of January 1, 2018) by 12, i.e. EUR 400 * 12 = EUR 4 800.

2. Unemployment benefits

2.1. Unemployment social insurance benefit (*Nedarbo draudimo išmoka*)

Code in the OECD tax-benefit model:² **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and not taxable. 

2.1.1. Eligibility conditions

Age: The right to unemployment insurance benefit is granted to a person aged 16 and over who has not reached the retirement age (62 years and 4 months for women and 63 years and 8 months for men on 1 January 2018).

Contribution/employment history: Social insurance contributions must have been made for at least 12 months in the last 30 months.

Behavioural requirements and related eligibility conditions:  A person must be registered in a local labour exchange (since 1st October 2018 Employment Service under the Ministry of Social Security and Labour of the Republic of Lithuania) office as unemployed; be fully unemployed; be able to work and be available for work; be ready to participate in the measures of active labour market policy. The eligibility

¹ AW refers to the Average Wage estimated by Statistics Lithuania according to the methodology developed by the [Centre for Tax Policy and Administration](#). For more information on methodology see the latest [Taxing Wages publication](#). The provisional estimate is calculated by the OECD TaxBen team based on EU Economic forecasts.

² The variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse.

does not depend on whether the job loss is “voluntary” or not. TaxBEN assumes that these compulsory conditions are satisfied when simulating unemployment benefits.³

2.1.2. Benefit amount

The unemployment social insurance benefit comprises a fixed and a variable component.

The **fixed component** equals to 30% of the established minimum monthly wage valid in the month for which the unemployment insurance benefit is paid. On January 1, 2018, the minimum wage is EUR 400 per month.

The **variable component** is linked to the former insured income of the unemployed.

Insured income includes all incomes of an individual from which the unemployment insurance contributions were paid or had to be paid (including unemployment insurance and part-time work benefits, sickness, maternity, paternity, and child care benefits).

The average monthly insured income is calculated taking into account the amount of the actual insured income of an unemployed for every month during the previous 30 months (including months with zero income) starting from the end of the calendar quarter to the date of the unemployed registration at local labour exchange.

The variable component is calculated as follows:

- from the 1st to the 3rd months of payment it equals 50% of the average monthly insured income
- from the 4th to the 6th months – 40%;
- from the 7th to the 9th months – 30 %.

Minimum and maximum:

The minimum unemployment social insurance benefit consists of the fixed component, i.e. $\text{EUR } 400 * 30\% = \text{EUR } 120$.

The unemployment insurance benefit paid in each of the periods cannot exceed 75% of the average monthly wage in the national economy (which is published every quarter by the Department of Statistics). In I quarter 2018 average gross monthly earnings in the whole economy (individual enterprises included) totalled EUR 887.8, i.e. unemployment insurance benefit cannot exceed EUR 665.85.

2.1.3. Benefit duration

The duration of unemployment benefit is 9 months.

For the unemployed person who is not more than 5 years below the retirement age the duration of unemployment benefit shall be extended by 2 additional months if early retirement pension is not allocated to him (*not simulated*).

³ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see Immervoll and Knotz (2018, forthcoming), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

Unemployed person can re-apply for unemployment benefit after 12 months after the date of termination of payment of the previous unemployment insurance benefit.

Payment of the unemployment insurance benefit to the unemployed persons who have been dismissed from work due to the fault of the employee shall be started upon expiry of 3 calendar months from the date of registration with the local labour exchange (*not covered by the model*).

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

The benefit is not taxable.

2.1.6. Interactions with other components of the tax-benefit system

Unemployed who receive state social insurance, assistance or state pensions (with the exception of widows', widowers', orphan's and loss of breadwinner's pensions, compensations for extraordinary working conditions, assistance pensions received for other persons), periodic compensations for lost capacity for work due to accidents at work and occupational diseases as well as occupational rehabilitation, maternity, paternity or childcare social insurance benefits, shall be paid only the part of the unemployment insurance benefit that exceeds the sum of the pensions, compensations or benefits received (*not covered by the model*).

2.1.7. Combining benefit receipt and employment/starting a new job

The payment of the benefit is terminated if a person becomes an employee or self-employed.

3. Social assistance and housing benefits

3.1. Social benefit (*Socialinė pašalpa*)

Code in the OECD tax-benefit model: [\[SA\]](#)

This is a non-contributory benefit, means-tested and not taxable.

3.1.1. Eligibility conditions

Families (or single residents) are entitled to social benefit if they satisfy the means-test (see Section 3.1.4.) and comply with these conditions (*assumed to hold in the model*):

- family members over 18 years of age are in one of these situations:
 - **employed** and during the assessment period of three months worked no less than two thirds of the statutory working time or worked part-time (in special cases), and the amount of pay was not less than a minimum monthly pay or minimum hourly pay;
 - in full-time formal **education** and are under 24 years of age;

- reached the retirement age or receive **pensions** (except the state social insurance disability pension granted to a person with capacity to work reduced by 45-55%), pension benefits or social assistance benefits;
- persons with **reduced work capacity** (by more than 60%);
- registered as **unemployed** with the state labour exchange;
- taking **care** a family member or a child;
- are undergoing **treatment** in a in-patient health care institution for at least a month;
- **pregnant** women with less than 70 calendar days left before a baby is due (28 or more weeks of pregnancy);
- a mother or a father who **raises a child** under 3 years old who does not attend a pre-school educational establishment (under 8 years old in certain circumstances);
- children between 16 and 18 years of age are in one of the following situations:
 - working (requirements for people older than 18 do not apply);
 - attend institutions of formal education;
 - are invalids or disabled in the manner prescribed by the law;
 - have registered with the state territorial labour exchange;
 - are pregnant women.

3.1.2. *Benefit amount*

State supported income (SSI) is EUR 122 per month. It is adjusted at irregular intervals according to governmental decision.

Regular amount:

- The amount of the social benefit for a single person who is entitled to it shall make 100% of the difference between the amount of state supported income per single person and the average monthly income per single person.
- The amount of the social benefit for persons living together who are entitled to it shall make up:
 - for the first person – 100% of the difference between the amount of state supported income per person and the average monthly income of the persons living together per person;
 - for the second person – 80%;
 - for the third and subsequent persons –70%.

Supplement for pupils:

Pupils who study according to general education or pre-school curricula are entitled to provision of school supplies if the average monthly income per family member is lower than the amount of 1.5 * state supported income (EUR 183). The amount of the benefit is 1.5 * Basic social benefit: EUR 38 * 1.5 = EUR 57 per year (paid in cash and in some cases in kind).

Reduced amount:

Social benefit (except if paid for children) is reduced to those beneficiaries who are entitled to social benefit for a long time:

- for the person receiving the social benefit from 12 to 24 months the amount of the social benefit is reduced by 20%
- from 24 to 36 months – by 30%
- from 36 to 48 months – by 40%;
- from 48 to 60 months – by 50%;
- for more than 60 months – the reduced social benefit is paid in non-monetary form (since 30 September 2016).

Since 30 September 2016 the list of circumstances under which cash social assistance cannot be reduced was expanded. The scheme of proportionate reduction of social benefit is not applied if at least one of the following conditions holds:

- the labour exchange did not offer a job or an opportunity to participate in active labour market policy measures;
- a working-age unemployed person (who is employable and not in education) participated in useful social activity organized by the municipal administration.

In the model it is assumed that one of the above conditions is satisfied, thus the reduction in social benefits is not modelled.

3.1.3. *Benefit duration*

The benefit is granted for three months. The social benefit may be renewed unlimited number of times if the circumstances have not changed.

3.1.4. *Means test*

In order to be eligible for social benefit:

- the value of the property should not exceed the threshold (*not covered by the model*);
- the average income of a family during the period of three months preceding the month when the family acquired the right to social benefit should be lower than the state supported income per family.

All income (i.e. net income including pensions, unemployment benefit, alimony, periodical state benefits, etc.) is taken into account with the exception of the social benefit itself, extraordinary grants, and special social allowances.

Since 1 January 2018 the child benefit and part of the net work income of working person should not be included in a family income establishing person's (family) right to assistance:

- 15 % – for persons who do not have children (adopted child) or for single person;
- 20 % – for persons raising one or two children (adopted child);
- 25 % – for persons raising three or more children (adoptive child);
- 30 % – for individuals raising one or two children (adopted child);
- 35 % – for individuals raising three or more children (adopted child).

3.1.5. *Tax treatment*

The benefit is not taxable.

3.1.6. *Interaction with other components of the tax-benefit system*

None

3.1.7. *Combining benefit receipt and employment/starting a new job*

Special eligibility conditions are applied in case a person starts new employment. In this case persons living together (or a single resident) shall be granted a (special) social benefit if the following conditions are met:

- at least one of the persons living together gets employed and his remuneration for work is not less than the minimum monthly wage or the minimum hourly pay but not more than two minimum monthly wages or two minimum hourly pays;
- before employment the persons were registered with the local labour exchange office no less than 6 consecutive months;
- persons living together were the recipients of the social benefit at least one month during the last three months before the employment;
- application for allocation of additional social benefit when employed is submitted no later than during 6 months since the employment.

The amount of the benefit equals 50% of the average amount of the social benefit paid during the last 6 months prior to employment. It is paid for each month in employment but no longer than for 6 months.

If after finding employment persons living together (or a single resident) are still eligible for social benefit, they can receive social benefit and additional 50% of the previous social benefit at the same time.

4. Family benefits

4.1. *Child benefit (Išmoka vaikui)*

Code in the OECD tax-benefit model: [\[FB_curr\]](#)

This is a non-contributory benefit, means-tested and not taxable.

4.1.1. *Eligibility conditions*

Since 2018 the eligibility to child benefit is universal: for every child from birth to the age of 18 years and over, if he / she is studying under the general curriculum, but no longer then until he reaches the age of 21.

4.1.2. *Benefit amount*

Basic social benefit (BSB) is EUR 38 per month. State supported income (SSI) is EUR 122 per month.

Since 2018 the universal child benefit amounting to 0.79 BSB (EUR 30,02) shall be paid to all children without regard to family income from birth to 18 years of age (*to 21 years if person studies according to general education curricula*).

For low income families raising one or two children and families raising three or more children there are supplementary amounts (the same as in 2017):

- Child benefit amounting to 0.75*BSB (EUR 28.5) shall be paid to children from birth to the age of two years:
 - if the family is raising (or fostering) one or two children and the average family's income per person per month of the previous calendar year does not exceed 1.5 * SSI (EUR 183);
 - if the family is raising (or fostering) three and more children (regardless family income).
- Child benefit amounting to 0.4 BSB (EUR 15.2) shall be paid to children from two to 18 years of age (*to 21 years if person studies according to general education curricula*):
 - if the family is raising (or fostering) one or two children and the average family's income per person per month of the previous calendar year does not exceed 1.5 * SSI (EUR 183);
 - if the family is raising (or fostering) three and more children (regardless family income).

Family's income is gross earnings after deductions of taxes and social contributions, social benefits, alimony, etc.

4.1.3. *Benefit duration*

As long as the eligibility conditions hold.

4.1.4. *Means test*

The eligibility to the benefit is universal, however, the supplementary benefit for low income families raising one or two children is paid as described in Section 4.1.2. .

4.1.5. *Tax treatment*

The benefit is not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

None.

4.1.7. *Combining benefit receipt and employment/starting a new job*

Possible with no restriction. However, the amount depends on the means-test.

4.2. *Children's maintenance benefit (Vaikų išlaikymo išmokos)*

Code in the OECD tax-benefit model: [\[alim\]](#)

This is a non-contributory benefit, not means-tested and not taxable. Since 1 January 2018 children's maintenance benefit payment is administered by State Social Insurance Fund.

4.2.1. Eligibility conditions

The support can be paid to a child who does not receive all or part of the support awarded by the child's father. Child should be under the age of 18 years (over 18 years of with disability).

4.2.2. Benefit amount

The benefit is paid once a month and is no more than $1.8 * \text{BSB}$ ($1.8 * \text{EUR } 38 = \text{EUR } 68,40$).

4.2.3. Benefit duration

As long as eligibility conditions hold.

4.2.4. Means test

Not means-tested.

4.2.5. Tax treatment

Non-taxable.

4.2.6. Interaction with other components of the tax-benefit system

Included in the means-test for child benefit and social benefit

4.2.7. Combining benefit receipt and employment/starting a new job

No restrictions.

5. Childcare for pre-school children

The **reference date** for the policy rules described in this section is **January 1, 2018**.

The pre-school education takes place in the family; or is provided according to a pre-school curriculum. The pre-school education is provided to children from the age of 0 to 5 (or 6). Pre-primary education is compulsory at age 6 (or 5 if parents chooses to get earlier pre-primary education). The pre-school curriculum is implemented by nursery-kindergartens, kindergartens, kindergarten-schools and other schools, freelance teachers or other education providers. Families raising pre-school children at home may receive educational assistance according to a procedure established by the Government or its authorized institution. Pre-primary children can get home-based teacher education if doctors commission recommends.

5.1. Gross childcare fees

Code in the OECD tax-benefit model: [\[LTcc_cost\]](#)

The founder of the pre-school determines the fees for children attending pre-school curriculum groups. The founder of the pre-schools can be private and public. In public institutions, usually the fees are paid by parents and amount to EUR 60 per month. Meals expenditures account for 80-100% of these fees (in the model 90% is assumed). In some

municipalities, parent additionally pay fees for teaching aids up to EUR 16 per month (this value is used in the model). Private institutions fees are more expensive: EUR 130-500. It includes meals and teaching aids, sometimes also non-formal education of pre-school children. Public institutions are considered in the model.

5.1.1. Discounts for part-time usage (not modelled)

For children who attend a short time group (up to 4 hours) in the pre-school institutions eating and paying for meals is not compulsory.

5.2. Fee discounts and free provision

In pre-school institutions the meals expenditure is reduced by 50% if:

- a family is raising three and more children;
- one of the parents (or a lone parent) is raising a child;
- a child is of a conscript;
- a father or a mother raising a child is a student or attends daily courses.

The meals expenditure is reduced by 20% if two children from one family attend the same pre-school institution.

Only the highest reduction is applied.

Municipal councils of towns and counties which are the founders of pre-school institutions have the right to set additional fees privileges, taking into account the income status of parents, child's health, etc.

According Lithuania Law on Social Assistance for Pupils if monthly income per family member is lower than $1.5 * \text{SSI}$ (EUR 183) pupils have the right to:

- free meals;
- provision with pupil's supplies (provided at the beginning of a school year).

Taking into account the living conditions of families, pupils may be provided free meals also in other cases specified by a municipality which takes a decision on the allocation of social assistance to pupils.

Since 2015 some municipalities, which have a lack of free places in their childcare institutions give compensations EUR 70-100 for childcare services in private institutions (this is about 14-60 % of monthly payment in private institutions).

5.3. Child-care benefits for formal centre-based care

Code in the OECD tax-benefit model: [\[cc_benefit\]](#)

There are no special childcare benefits to parents of children in pre-schools.

5.4. Child care allowance for children not using child care centers

None.

5.5. Tax concessions for childcare expenditures

None.

6. In-work benefits

A social benefit recipient can be granted 50% of the average amount of the previously received Social Benefit in case he or she starts new employment (under certain conditions). This is an in-work benefit, however, in the model it is modelled as part of social assistance [\[SA\]](#). For more details on the rules see Section 3.1.7.

7. Social security contributions and payroll taxes

State social insurance contributions for each insured person shall be calculated on the basis of wages calculated for each such person. Since 1 January 2018, Lithuania introduced social contribution „floors” requiring employers of part-time workers to pay contributions corresponding at least to those of a minimum-wage full-time worker. Exceptions apply for below-24 year-olds, pensioners, persons working for two employers and persons insured by the state, e.g. during the second and third year of childcare leave.

7.1. Social security contributions paid by employees (*Darbuotojų mokamos socialinio draudimo įmokos*)

Variable names: [\[SC_p; SC_s\]](#)

The rate of state social insurance contributions paid by employees is 9%:

- for pension social insurance – 3%;
- for health insurance – 6%.

7.2. Social security contributions paid by employers (*Darbdavių mokamos socialinio draudimo įmokos*)

Variable names: [\[SSCR\]](#)

The total rate of the state social insurance contributions payable by employers for pension, sickness and maternity, unemployment social insurance and health insurance, Long-term work benefit fund and Guarantee fund (without social insurance for occupational accidents and occupational diseases) is 31% (since January 1, 2018):

- for pension social insurance – 22.3%;
- for sickness social insurance – 1.4%;
- for maternity social insurance – 2.2%;
- for unemployment social insurance – 1.4% (the rate of unemployment insurance contributions under fixed-term employment contracts shall be doubled);
- for health insurance – 3%;
- Long-term work benefit fund – 0.5%;
- Guarantee fund – 0.2%.

In addition, there are social insurance contributions for occupational accidents and occupational diseases. The rate depends on the category of the insurer:

- Category I – 0.18%;
- Category II – 0.43%;
- Category III – 0.9%;

- Category IV – 1.8%.

In the model the weighted average rate of the four categories is used: 0.2%.

8. Taxes

The income of spouses is taxed separately. However, there are some provisions according to which the right to deduct certain items can be shared or transferred between spouses (e.g., life insurance and pension contributions, etc.).

8.1. *Personal income tax (Gyventojų pajamų mokestis)*

Code in the OECD tax-benefit model: `[IT_p; IT_s]`

8.1.1. *Tax allowances*

Basic tax-exempt amount (BTEA):

The full BTEA consisted of EUR 380 per month in 2018. The actual BTEA depends on the amount of person's income and is calculated as follows:

- the full BTEA (EUR 380) is applied to persons whose income related to labour relations was EUR 400 or less per month;
- for a person whose income was more than EUR 400 per month BTEA is calculated according to the formula: $BTEA = 380 - 0,5 * (income - 400)$;
- If the BTEA calculated according to this formula is negative, it is assumed to be equal to 0.

Additional tax exempt amount (ATEA) is abolished since 2018.

Other allowances: *(not covered by the model)*

- life insurance contributions paid for his own benefit or for the benefit of his spouse or minor children;
- voluntary pension contributions paid for his own benefit or for the benefit of his spouse or disabled children;
- payments for vocational training or studies made by studying persons.

The total amount of the above-mentioned deductions shall not exceed 25% of the amount of taxable income. When calculating and declaring income of 2017 and subsequent tax periods, the life insurance premiums and contributions to pension funds deducted from the annual income may not exceed EUR 2 000 per tax period.

8.1.2. *Tax base*

As concern social benefits, only insurance maternity benefit and sickness benefit are taxable *(not covered by the model)*. The taxable income shall be calculated by deducting from all income earned during the taxable period:

- tax-exempt income enlisted in the Law;
- income, derived from activity performed with a business certificate *(not covered by the model)*;
- allowable deductions, related to an income derived from individual activity *(not covered by the model)*;
- an acquisition price of property *(not covered by the model)*;

- basic personal allowance and additional personal allowance;
- deductible expenses (*not covered by the model*).

8.1.3. Income tax schedule

In 2018 the individual income tax is levied at 15%.

8.1.4. Tax credits

There are no tax credits in Lithuanian.

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Lithuania that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Compensations for heating costs, drinking water costs and hot water costs (Būsto šildymo, geriamojo ir karšto vandens išlaidų kompensacijos)

This is a means-tested support to cover expenses for heating, drinking and hot water. Eligibility conditions are the same as for Social Benefit (see Section 3.1.1.). Families or single residents shall be entitled to the following compensations:

- during the heating season – part of the expenses for heating (below the limit) exceeding 10% of the difference between the income of a family and the state supported income per family;
- part of the costs of cold water and sewage (below the limit) exceeding 2% of the income of a family;
- part of the costs for hot water (below the limit) exceeding 5% of the income of the family.

Compensations are not subject to taxation.

Birth grant (Vienkartinė išmoka gimus vaikui)

Each born child is entitled to a lump-sum birth grant equal to 11 * BSB (EUR 38 * 11 = EUR 418). On the birth of twins (or triplets) the birth grant is doubled (or tripled). Birth grant is paid to one of the parents raising a child.

Benefit for multiple births (Išmoka gimus vienu metu daugiau kaip vienam vaikui)

When two or more children are born, one of the parents shall be granted a benefit for multiple births. If two children are born at a time, a monthly benefit amounts to 4*BSB (EUR 38 * 4 = EUR 152). If more than two children are born at a time, the amount of benefit is increased by 4*BSB respectively. This benefit is paid from the moment of birth of children until they reach the age of two years.

Maternity benefit (Motinystės išmoka)

Women are entitled to receive maternity benefit for the period of pregnancy and delivery if:

- they are covered by maternity social insurance;
- they were granted pregnancy and delivery leave;
- before the first day of pregnancy and delivery leave they have the social insurance period of not less than 12 months during the last 24 months.

The maternity benefit for women, who gave birth after 30 weeks of pregnancy and later, is paid for 126 calendar days. In cases of complicated childbirth and if more than one child was born, the benefit is paid for additional 14 calendar days. Women who have not used the right to a maternity leave before the date of childbirth shall be paid a maternity benefit for 56 calendar days after the childbirth. Women who have not used the right to a maternity leave before the date of childbirth (30 or more weeks of pregnancy), in case of complicated childbirth and if more than one child was born the maternity benefit shall be paid for 70 calendar days after the childbirth.

The amount of maternity benefit during the maternity leave period shall make 100% of the average monthly insured income (calculated on the basis of the person's insured income during twelve calendar months before the calendar month preceding the month in which a maternity leave began). The amount of the benefit per month may not be lower than one-third of the current year's insured income valid in the month of the beginning of the maternity leave.

If during the period of payment of the maternity benefit the insured person has income and the amount of this income is less than the maternity benefit, the person shall be paid the difference between this benefit and the income received. If the amount of the income is higher than the maternity benefit or equal to this benefit, maternity benefit is not payable.

Child care benefit (Vaiko priežiūros išmoka)

One of the parents is entitled to the child care benefit if:

- he is covered by maternity social insurance;
- he was granted the child care leave until the child is one-year old or two-years old;
- before the first day of the childcare leave he has the maternity social insurance record of not less than 12 months during the last 24 months.

When a woman receiving the child care benefit is granted the pregnancy and delivery leave (for another child) and she becomes entitled to receive the maternity benefit during the pregnancy and maternity leave, she is paid the higher of the benefits or the benefit of her choice.

If a mother did not receive the maternity benefit during the pregnancy and delivery leave, the child care benefit is granted to other individuals (e.g. father) entitled to the benefit from the day of birth of the child.

The child care benefit is paid during the child care leave until the child is one-year old but not sooner than from the end of the pregnancy and delivery leave until the child is one-year old (including the birthday of the child) or two years old.

The amount of child care benefit depends on chosen receipt duration of the benefit:

- if the insured person chooses to receive the benefit until the child turns 1 year old, the amount of the benefit is 100% of the beneficiary's average monthly insured income;
- if the person chooses to receive the benefit until the child turns 2 years old – the benefit until the child turns 1 year old is 70% and 40% until the child turns 2 years old.

When two or more children are born the child care benefits shall be increased taking into account the number of children born simultaneously, however the total benefits may not exceed 100% of the beneficiary's average monthly insured income.

The average monthly insured income shall be calculated on the basis of the person's insured income during twelve consecutive calendar months before the calendar month preceding the month in which a childcare leave began.

The amount of a child care benefit per month shall not be less than one third of the current year's insured income valid at the beginning month of a childcare leave.

Paternity benefit (Tėvystės išmoka)

A father is entitled to the paternity benefit if:

- he is covered by sickness and maternity social insurance;
- he was granted parental leave until the child is one month old;
- in the last 24 months before the first day of parental leave he has the social insurance period for sickness and maternity of at least 12 months;
- he has acknowledged paternity.

Paternity Benefit is paid maximum 1 month from the date of childbirth.

The amount of the paternity benefit is equal to 100% of the average monthly insured income of the beneficiary. The benefit must not be lower than 1/3 of the average insured income of the current year.

Pregnancy grant (Vienkartinė išmoka nėščiai moteriai)

A pregnant unemployed woman, who is not eligible for a maternity allowance, shall be granted a lump-sum pay in the amount of 2*BSB (2 * EUR 38 = EUR 76) for 70 days before a baby is due. This benefit is paid irrespective of whether the person is covered by state social insurance or not.

Sickness benefit (Ligos išmoka)

Individuals covered by the sickness social insurance are entitled to receive the sickness benefit. The benefit is granted if a temporary incapacity for work is caused by:

- disease or injury, except for accidents at work or occupational diseases;
- child care;
- sickness of a family member when he needs nursing;
- treatment at in-patient facility;
- before the day on which temporary incapacity for work was established, the insured has the social insurance period for sickness and maternity of at least 3 months in the last 12 months or 6 months in the last 24 months.

The sickness benefit for the first two calendar days of sickness overlapping with the work schedule of an employee (except for the benefit for nursing a family member) is covered by the employer. The sickness benefit covered by the employer may not be lower than 80% and higher than 100% of the average salary of the beneficiary.

From the third day of incapacity for work the sickness benefit shall be paid from the State Social Insurance Fund. The amount shall make up 80% of the average monthly insured income of the beneficiary.

The amount of a sickness allowance paid with the State Social Insurance Fund resources shall make up 85 per cent of the reimbursed remuneration of the allowance beneficiary for nursing a sick family member or looking after a sick child.

Child care benefit for persons in training or education (Išmoka besimokančio ar studijuojančio asmens vaiko priežiūrai)

Introduced since 1 January 2017. One of the child's parents shall be entitled to a monthly benefit of 6*BSB (EUR 228) during the period of training or studies and for 12 months after completion of training or studies if the person studies according to the formal vocational training programme or is a full-time student at a higher education institution until the age of 26 (or a doctoral student until the age of 30) and if the person is not entitled to a child care benefit. This benefit is paid during the period of child care from the date of birth of the child until one year of age. The child care benefit shall not be granted to persons in training or education if the other parent has been granted a child care benefit for the same child.

Child adoption allowance (Išmoka įvaikinus vaiką)

Introduced since 1 January 2018. In case of the adoption of a child, one of the adoptive parents, following 24 months from the day of the court's final decision on adoption (or, in urgent cases, from the execution date of the court decision), is entitled to a monthly allowance equal to 8 BSB (EUR 304) which is paid until the child turns 18 years of age, except in cases when under the Law on Sickness and Maternity Social Insurance of the Republic of Lithuania the adoptive parents are entitled to a child care benefit the amount of which is no less than a child adoption allowance.

If the amount of a child care benefit paid in accordance with the Law on Sickness and Maternity Social Insurance of the Republic of Lithuania is less than a child adoption allowance, the amount of the child adoption allowance is calculated as the difference between the child adoption allowance and the child care benefit.

A child adoption allowance is not paid when one of the child's adoptive parents is entitled to a child care benefit paid to the same adopted child under the Law on Sickness and Maternity Social Insurance of the Republic of Lithuania.

If 24 months did not elapse from the date on which an individual is entitled to a child care benefit under the Law on Sickness and Maternity Social Insurance of the Republic of Lithuania, a child adoption allowance is paid from the date on which the care benefit is terminated until the end of the period of 24 months from the court's final decision on adoption.

A child adoption allowance is not paid if a child is adopted by a new spouse or partner of the child's parent. A child adoption allowance is granted and paid from the day on which an individual is entitled to the allowance but no more than for 12 previous months following the submission of all documents for entitlement to the allowance to the municipality's administration.